Higher
Coursework
Assessment Task

Higher Accounting
Assignment
Assessment task

Coursework Finalised Marking Instructions

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Marking instructions

In line with SQA's normal practice, the following marking instructions for the Higher Accounting assignment are addressed to the marker. They will also be helpful if you are preparing candidates for course assessment.

Candidates' evidence is submitted to SQA for external marking.

General marking principles

Always apply these general principles. Use them in conjunction with the specific marking instructions, which identify the key features required in candidates' responses.

a Always use positive marking. This means candidates accumulate marks for the demonstration of relevant skills, knowledge and understanding; marks are not deducted for errors or omissions.

b If a candidate response does not seem to be covered by either the principles or specific marking instructions, and you are uncertain how to assess it, you must seek guidance from your team leader.

c Candidates gain marks for showing workings and demonstrating that they have followed accounting processes, even when they present incorrect figures.

d **Treatment of errors**

The specific marking instructions provide guidance on the treatment of errors such as extraneous items, arithmetical errors and consequential errors.

e **Layouts**

The specific marking instructions provide layouts for illustrative purposes only. Do not penalise candidates for using appropriate alternative layouts.

f **Consequential errors**

You must take into account consequential errors. Candidates must receive marks for following the correct accounting processes and using the correct spreadsheet formulae.

g **+/- rule**

You should check both statements before awarding marks for correct entry of Trial Balance items, as they can only appear once.

h **Formulae**

Candidates may use a variety of different formulae to solve problems and provide the information needed in the spreadsheet. Award marks where a formula provides the correct answer. The formula in the specific marking instructions is not the only way to achieve the correct answer.

i **Printouts**

Each task clearly provides printing requirements. Where a printout for a task is missing, award marks for the correct information on any available alternative printout.

Task 1(a)													
	GRANGECHEM LTD												
	MANUFACTURING ACCOUNT FOR THE YEAR ENDED 31 DECEMBER YEAR 4 ✓					**ADDITIONAL GUIDANCE**							
		£000		£000		**13 marks**							
	Opening Inventory of Raw Materials			175	A								
	add Purchases of Raw Materials	948			B								
	less Purchases Returns of Raw Materials	25		923	B1								
				1,098									
	add Carriage In on Raw Materials			41	C								
				1,139									
	less Closing Inventory of Raw Materials			160	A1								
	COST OF RAW MATERIALS CONSUMED ✓			979									
	ADD DIRECT COSTS					If direct costs or factory overheads are deducted but							
	Royalties	92	C1			indicated as added, treat as arithmetical error							
	Manufacturing Wages (360 x 50%)	180	1	272									
	PRIME COST ✓			1,251									
	ADD FACTORY OVERHEADS					If factory overheads are subtracted, award marks where							
	Wages (360 x 20%)	72	1			possible and do not award Profit on Manufacture							
	Indirect Factory Power	132	D										
	Heat and Light (65 x 80%)	52	E										
	Factory Rent and Rates (255/15 x 12) x 75%	153	1										
	Factory Insurance (40 x 3/5)	24	1										
	Factory Cleaning (25 + 5 payable)	30	1										
	Factory Maintenance	75	D1										
	Depreciation on Factory Machinery (650 - 175) x 20%	95	1	633		If Factory Machinery (Cost) is included, do not							
				1,884		award Depreciation on Factory Machinery							
	add Opening Inventory of Work-in-Progress			168	F								
				2,052									
	less Closing Inventory of Work-in-Progress			157	F1								
	FACTORY COST OF PRODUCTION ✓			1,895									
	Profit on Manufacture			55	1	If Profit on Manufacture is labelled but is							
	MARKET VALUE OF FINISHED GOODS			1,950		negative still award the mark							
	Headings, labels, arithmetic, no extraneous (1)												

Task 1(a) (continued)														
	INCOME STATEMENT FOR THE YEAR ENDED 31 DECEMBER YEAR 4 ✓							**ADDITIONAL GUIDANCE**						
		£000		£000		£000		**14 marks**						
	Sales Revenue					3,100	G	If any item repeated across both statements do not award in correct statement						
	LESS COST OF SALES													
	Opening Inventory of Finished Goods			160	H									
	add Market Value of Finished Goods			1,950	G1			If Factory Cost of Production is included instead of Market Value, award 1 mark consequentially, provided it is the final figure shown in the Manufacturing Account						
				2,110										
	add Purchases of Finished Goods	105			J									
	less Purchases Returns of Finished Goods	22		83	J1									
				2,193										
	less Closing Inventory of Finished Goods			161	H1									
				2,032										
	add Warehouse Wages (360 x 15%)	54			1									
	add Warehouse Expenses	22		76	1									
	COST OF SALES					2,108								
	GROSS PROFIT ✓					992								
	add Profit on Manufacture					55	1							
						1,047								
	LESS EXPENSES													
	Administration Wages (360 x 15%)			54	1									
	Heat and Light (65 x 20%)			13	E1									
	Rent and Rates (255/15 x 12) x 25%			51	1									
	Office Expenses			325	K									
	Depreciation on Vehicles (400 x 10%)			40	1									
	Advertising			10	K									
	Office Insurance (40 x 40%)			16	1									
	Administration Expenses			265	K1	774								
						273								
	ADD OTHER INCOME							If entered as Provision for Doubtful Debts as 5 award 1 mark If entered as Decrease in Provision for Doubtful Debts as 7 do not award (DNA) 1 mark If entered as Provision for Doubtful Debts as 7 treat as Extraneous						
	Decrease in Provision for Doubtful Debts (12-7)					5	1							
	PROFIT FOR THE YEAR ✓					278								
	Headings, labels, arithmetic, no extraneous **(1)**													

Task 1(b)							ADDITIONAL GUIDANCE					
							3 marks					
	Raw Materials refers to the inventory used to produce the product. **(1)**											
	Work-In-Progress refers to products only part complete. **(1)**											
	Finished Goods refers to completed products/products ready for sale. **(1)**											

	A	B	C	D	E	F	G	H	I	J
1	**Task 2 — value view**								**ADDITIONAL GUIDANCE**	
2	**Name:**								1 mark	
3										
4	**Materials**				**Labour**					
5	Quantity from Process 1 (kg)	800			Hours worked in Process 2	400				
6	Price per kg from Process 1 (£)	10.00			Rate per hour (£)	15.00				
7	Quantity of Material X (kg)	1,600								
8	Price per kg for Material X (£)	7.00			**Variable Overheads**					
9					Input Quantity more than 2,300 kgs	4.00	per labour hour (£)			
10	All losses are sold (per kg) at a rate of (£)	6.00			Input Quantity 2,300 kgs or less	4.50	per labour hour (£)			
11										
12										
13	**PROCESS 2 ACCOUNT**									
14		**INPUTS**			**OUTPUTS**			**BALANCE**		
15		**QTY**	**CPU**	**£**	**QTY**	**CPU**	**£**	**QTY**	**CPU**	**£**
16	Transfer from Process 1	800	10.00	8,000.00				800	10.00	8,000.00
17	Material X	1,600	7.00	11,200.00				2,400		19,200.00
18	Labour			6,000.00				2,400		25,200.00
19	Fixed Overheads			2,520.00				2,400		27,720.00
20	Variable Overheads			1,600.00				2,400		29,320.00
21	Normal Loss				240	6.00	1,440.00	2,160		27,880.00
22	Closing Work-in-Progress				450		3,940.00	1,710	14.00	23,940.00
23	Transfer to Process 3				1,500	14.00	21,000.00	210	14.00	2,940.00
24	Abnormal Loss				210	14.00	2,940.00	0		0.00
25										
26										
27	**ABNORMAL LOSS ACCOUNT**									
28		**INPUTS**			**OUTPUTS**			**BALANCE**		
29		**QTY**	**CPU**	**£**	**QTY**	**CPU**	**£**	**QTY**	**CPU**	**£**
30	Process 2	210	14.00	2,940.00				210	14.00	2,940.00
31	Cash and Cash Equivalents				210	6.00	1,260.00	0		1,680.00
32	Income Statement						1,680.00			0.00
33										
34	Data cells highlighted yellow 1 mark									

Task 2 — formula view										ADDITIONAL GUIDANCE				
Name:										12 marks				
Materials					**Labour**									
Quantity from Process 1 (kg)	800				Hours worked in Process 2	400								
Price per kg from Process 1 (£)	10				Rate per hour (£)	15								
Quantity of Material X (kg)	=B5*2	1												
Price per kg for Material X (£)	7				**Variable Overheads**									
					Input quantity more than 2,300 kgs	4	per labour hour (£)							
All losses are sold (per kg) at a rate of (£)	6				Input quantity 2,300 kgs or less	4.5	per labour hour (£)							
PROCESS 2 ACCOUNT														
	INPUTS				**OUTPUTS**				**BALANCE**					
	QTY	**CPU**	**£**		**QTY**	**CPU**	**£**		**QTY**	**CPU**	**£**			
Transfer from Process 1	=B5	=B6	=B16*C16	1					=B16	=C16	=D16			
Material X	=B7	=B8	=B17*C17	1					=H16+B17-E17		=J16+D17-G17			
Labour			=F5*F6	1					=H17+B18-E18		=J17+D18-G18			
Fixed Overheads			=J18*0.1						=H18+B19-E19		=J18+D19-G19			
Variable Overheads			=IF(H17>2300,F5*F9,F5*F10)	1					=H19+B20-E20		=J19+D20-G20			
Normal Loss					=H20*0.1	=B10	=E21*F21	1	=H20+B21-E21		=J20+D21-G21			
Closing Work-in-Progress					450		3940		=H21+B22-E22	=J22/H22	=J21+D22-G22	1	CPU formula	
Transfer to Process 3					1500	=I22	=E23*F23	1	=H22+B23-E23	=J23/H23	=J22+D23-G23			
Abnormal Loss					=H23	=I22	=E24*F24		=H23+B24-E24		=J23+D24-G24	1	For all balance formulae. Accept any appropriate formulae.	
ABNORMAL LOSS ACCOUNT														
	INPUTS				**OUTPUTS**				**BALANCE**					
	QTY	**CPU**	**£**		**QTY**	**CPU**	**£**		**QTY**	**CPU**	**£**			
Process 2	=E24	=F24	=G24						=B30	=C30	=D30	1	for row	
Cash and Cash Equivalents					=H30	=B10	=E31*F31		=H30-E31		=J30-G31	1	for row	
Income Statement							=J31				=J31-G32	1	for row	

	A	B	C	D	E	F	G	H	I	J
1	**Task 2**									
2	**Name:**									
3										
4	**Materials**				**Labour**					
5	Quantity from Process 1 (kg)	800			Hours worked in Process 2	d				
6	Price per kg from Process 1 (£)	d			Rate per hour (£)	d				
7	Quantity of Material X (kg)	f								
8	Price per kg for Material X (£)	d			**Variable Overheads**					
9					Input quantity more than 2,300 kgs	d	per labour hour (£)			
10	All losses are sold (per kg) at a rate of (£)	6.00			Input quantity 2,300 kgs or less	d	per labour hour (£)			
11										
12										
13	**PROCESS 2 ACCOUNT**									
14		**INPUTS**			**OUTPUTS**			**BALANCE**		
15		**QTY**	**CPU**	**£**	**QTY**	**CPU**	**£**	**QTY**	**CPU**	**£**
16	d	f	f	f				f	f	f
17	d	f	f	f				f		f
18	d			f				f		f
19	d			f				f		f
20	d			f				f		f
21	d				f	f	f	f		f
22	d				d		d	f	f	f
23	d				d	f	f	f	f	f
24	d				f	f	f	f		f
25										
26										
27	**ABNORMAL LOSS ACCOUNT**									
28		**INPUTS**			**OUTPUTS**			**BALANCE**		
29		**QTY**	**CPU**	**£**	**QTY**	**CPU**	**£**	**QTY**	**CPU**	**£**
30	d	f	f	f				f	f	f
31	d				f	f	f	f		f
32	d						f			f

Task 3(a)																
Production Budget for January to June ✓									**ADDITIONAL GUIDANCE**							
	January		February	March	April	May	June		4 marks							
Closing inventory	600		560	620	540	580	600	1	**1 mark** for correct January Opening and June Closing Inventory							
add Sales	2,500		3,000	2,800	3,100	2,700	2,900	1	**1 mark** for correct heading and Sales units							
	3,100		3,560	3,420	3,640	3,280	3,500									
less Opening inventory	500	*	600	560	620	540	580	1	**1 mark** for both highlighted rows							
Production	**2,600**		**2,960**	**2,860**	**3,020**	**2,740**	**2,920**	1	**1 mark** for adding Closing Inventory AND deducting Opening Inventory							
Task 3(b)						**ADDITIONAL GUIDANCE**										
Cash Budget for March and April ✓						13 marks										
	March		April													
Opening Balance ✓	20,000	✓	55,755													
Add Receipts ✓						Accept Cash In/Inflows/Income										
Cash Sales	58,800		65,100	1												
Credit Sales - 1 month	79,380	1	74,088	1												
Credit Sales - 2 months	46,550	1	55,860	1		If bad debts are shown DNA credit sales 2 months										
	184,730		195,048													
Less Payments ✓						Accept Cash Out/Outflows/Expenditure										
Materials	60,400		54,800	1		Do not accept Expenses										
Labour	42,900		45,300	1												
Advertising	-		3,000	1												
Fixed Costs	1,000		1,000	1												
Variable Overheads - 25%	3,575		3,775	1		If Variable Overheads total 14,900 and 14,050 award 1 mark Implied										
Variable Overheads - 75%	11,100		10,725	1		If Variable Overheads correctly shown for one month award 1 mark										
Factory Machinery	30,000		60,000	1												
	148,975		178,600													
Closing Balance ✓	55,755	✓	72,203	✓												
Heading, labels, arithmetic, Opening and Closing Balances shown (1)																

[END OF MARKING INSTRUCTIONS]